

SheZone's Smart Makeover: A Data-Driven Retention & Growth
Strategy for SheZone Salon

A Final-Term report for the BDM capstone Project

Submitted by
Name: Shagun Singh
Roll number: 24f2006347



IITM Online BS Degree Program,
Indian Institute of Technology, Madras, Chennai
Tamil Nadu, India, 600036

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1. EXECUTIVE SUMMARY

SheZone Salon is a mid-sized women's beauty salon located in Topkhana, Lucknow Cantt, operating since 2015. It offers core grooming and premium services including Haircuts, Facials, Waxing, Threading, Nail Care, and Bridal Makeup. Despite a strong local brand presence, SheZone faces two key challenges: a decline in repeat customers (customer churn) and uneven revenue during non-festive months. While April records high footfall due to weddings and festivals, May–June show a visible slowdown, affecting overall growth stability.

The analysis is anchored on two datasets:

Primary Data (Jan–Jun 2025, 450 appointments) — capturing CustomerID, Service Type, Discounts, and Bill Value. The data shows a 28% decline in active customers from January to June and highly skewed spending—routine services form 70% of visits, while premium services contribute over 40% of total revenue.

Secondary Data (Competitor Benchmark: Lakmé, Naturals, Urban Company, 300 records) — reveals that premium chains maintain stronger loyalty and higher average pricing (~₹3,100) by leveraging technology, consistency, and personalized experiences.

Using RFM segmentation and ABC analysis, the study identified clear customer segments—Champions (20%), Loyal (30%), At Risk (24%), and Need Action (26%)—guiding future retention priorities.

Overall, findings indicate that SheZone's next phase of growth depends on retaining high-value clients, re-engaging inactive customers, and introducing AI-powered skincare personalization and loyalty programs to build a stable, differentiated brand in Lucknow's competitive salon market.

2. DETAILED EXPLANATION OF ANALYSIS PROCESS / METHOD

2.1 Data Collection

Primary Data (SheZone_Appointments_Jan_June.xlsx)

The primary dataset consists of 450 appointment records from January to June 2025, representing

SheZone's real customer activity. The data was collected directly from the salon's in-store appointment register and verified with the owner. Each record includes customer name, visit date, service type, walk-in/appointment mode, discounts, freebies, and final bill amount.

A monthly summary sheet consolidates appointment count, total revenue, and average bill size for six months. Together, these two sheets provide both transactional and aggregated business perspectives.

Link - [📄 SheZone_Appointments_Jan_June](#)

Secondary Data (Competitor Dataset – Lakmé, Naturals, Urban Company)

A manually compiled dataset of 300 service listings was collected from official brand websites and aggregator platforms (Urban Company, Justdial). The dataset captures service category, cost, ratings, and number of reviewers — enabling a direct benchmark of SheZone's positioning against premium competitors within Lucknow's local salon market.

Link - [📄 SheZone_Competitor_Data](#)

2.2 Data Cleaning & Preprocessing

Primary Data:

- Standardized inconsistent entries (e.g., “*Facials*” → “*Facial*”, “*Hair spa*” → “*Hair Spa*”).
- Converted pricing columns (Original, Discount, Final Price) to numeric formats (₹).
- Removed duplicates and missing rows.
- Extracted *Month* and *CustomerID* fields for time-based and customer-level analysis.
- Added derived metrics:
 - **Discount %** = Discount Given / Original Price
 - **Customer Type** = Repeat / First-time

- **Final Price per Appointment** = Key input for revenue and RFM calculations.

Secondary Data:

- Standardized categories across all brands (Haircare, Skincare, Makeup, Spa, Waxing, Nails).
 - Normalized numeric values (removed currency symbols, converted to numbers).
 - Added binary field **isRated (1/0)** for sentiment filtering.
 - Merged the three competitor datasets into a single unified sheet for cross-brand analysis.
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2.3 Primary Data Analysis Flow

The analysis followed a progressive insight model, moving from descriptive exploration to behavioral segmentation. All data was processed using **Google Sheets** and visualized in **Power BI**.

Step 1: Exploratory Data Analysis (EDA)

- Monthly appointment and revenue trends were visualized to identify seasonality and churn patterns.
- The analysis confirmed a **28% decline in active customers** from January to June and a clear dip in May–June revenue.
- Service-level trends revealed heavy concentration — **Haircuts, Waxing, and Threading** accounted for 65% of visits, while premium services (Hair Spa, Bridal Makeup) generated the largest revenue share.

Step 2: Customer Retention & Churn Analysis

- **Retention Rate:** Computed using monthly distinct customer counts.

- **Repeat vs First-time Ratio:** Derived through pivot tables to understand loyalty trends.
- **Churn Proxy:** Identified customers who visited early months (e.g., January) but didn't return later.
- **Power BI KPIs:** Tracked monthly retention rate, total active customers, and churn percentage. Findings revealed that while loyal customers continue to visit, overall active clients decline post-March, highlighting a need for re-engagement.

Step 3: RFM (Recency–Frequency–Monetary) Segmentation

- **Recency:** Days since last visit (as of June 30, 2025).
- **Frequency:** Number of visits per customer across six months.
- **Monetary:** Total spend per customer.
Using percentile-based cutoffs in Google Sheets, customers were classified into behavioral groups:
- **Champions (20%)** — most recent, frequent, and high-spending clients.
- **Loyal (30%)** — regular visitors with steady spending.
- **At Risk (24%)** — customers who haven't visited recently.
- **Need Action (26%)** — inactive, low-spend customers.
This segmentation provided actionable insight into retention priorities and targeted marketing.

2.4 Secondary Data Analysis Flow

The competitor dataset was analyzed to position SheZone within its local beauty ecosystem.

1. Pricing Benchmarking:

- Lakmé and Naturals average prices above ₹3,000, compared to SheZone's ₹560.
- Confirms SheZone's affordability advantage but also a lower perceived premium.

2. Ratings Distribution:

- Highly-rated services (4.0–4.5) are concentrated among Lakmé and Naturals.
- Urban Company maintains moderate pricing but wide service variety, appealing to convenience-driven customers.

3. ABC & Pareto Analysis:

- Top 20% of services (Bridal, Hair Spa, Facial) generate nearly 70% of total engagement (based on "Rated By").

4. Strategic Implication:

- SheZone can bridge the perception gap through *AI-powered beauty consultations*, *skin-type-based product personalization*, and *seasonal promotional bundles* to attract premium-segment clients without raising base prices.

3. RESULTS & FINDINGS

3.1 Primary Data – Customer Behavior and RFM Segmentation

A six-month analysis (Jan–June 2025) of SheZone's appointment dataset was conducted to identify customer patterns, retention challenges, and spending behavior. Using Recency, Frequency, and Monetary (RFM) segmentation, customers were classified into four behavioral groups as of **30 June 2025**.

Descriptive Summary :

Metric	Value
Total Customers Analyzed	~300
Recency Cutoffs (days)	23, 43, 77, 110
Frequency Cutoffs (visits)	1, 2, 2003
Monetary Cutoffs (₹)	300, 550, 950, 2490
Segments Identified	Champion, Loyal, At Risk, Need Action

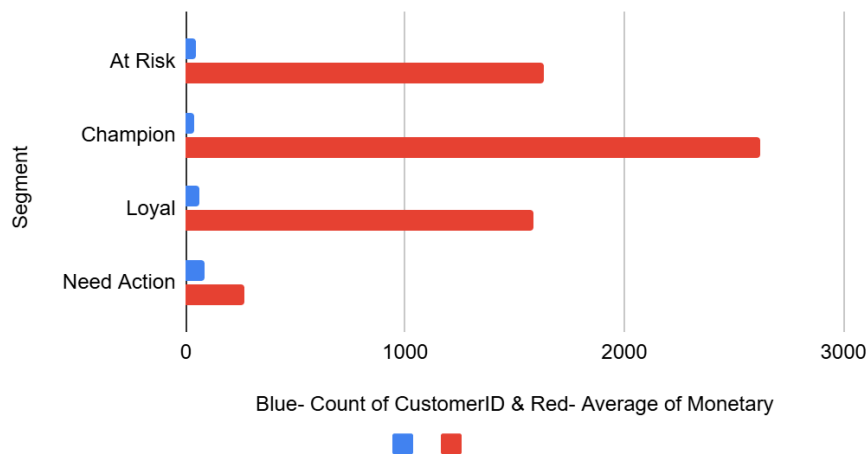
Segment-Wise Insights :

Segment	% of Total	Characteristics
Champion (17.2%)	High frequency, high spend, low recency	Core profit drivers; ideal for referral & loyalty programs
Loyal (25.3%)	Regular visitors with stable spend (₹1,700–₹1,800 avg.)	Retain through exclusive perks and premium add-ons
At Risk (20.6%)	High past spenders but long inactivity (Recency > 90 days)	Immediate “We Miss You” campaigns to prevent churn
Need Action (36.9%)	Infrequent, low-spend customers (₹300–₹400 avg.)	Awareness & reactivation marketing opportunities

Visual Findings :

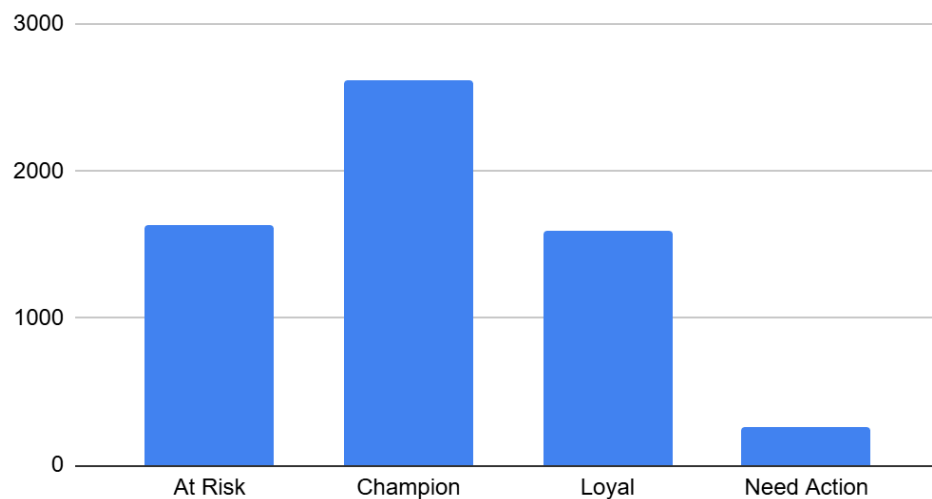
- **Figure 3.1a – Customer Segments (RFM):** “Need Action” forms the largest base (37%), followed by Loyal (25%) and Champions (17%).

Customer segments (RFM)



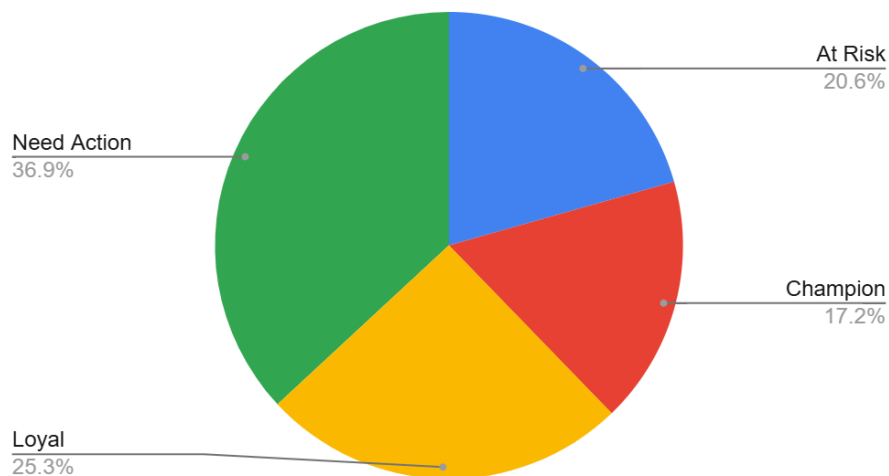
- **Figure 3.1b – Average Spend by Segment:** Champions spend **1.6× more** than Loyal clients and **9× more** than Need Action customers.

AVG SPEND BY SEGMENT



- **Figure 3.1c – % Share of Each Segment:** Nearly **62%** of customers fall into “Loyal” or “Need Action,” confirming a dual focus area — **retention + reactivation**.

% share of each segment



Key Takeaways :

- Spending distribution is **right-skewed**, showing that a small number of premium clients drive a major share of total revenue (Pareto principle).
- “At Risk” customers are the most urgent retention group — they have strong historical spending but declining engagement.
- Targeting **Champions and Loyals** with loyalty programs, while re-engaging inactive customers, can directly uplift SheZone’s monthly revenue consistency.

3.2 Secondary Data – Competitor Benchmark Analysis

The competitor dataset (Lakmé, Naturals, Urban Company) captured **300 service listings** across six major categories: Bridal Makeup, Facial, Hair Spa, Haircut, Waxing, Threading, and Nail Care.

Metrics analyzed included **Service Cost (₹)**, **Ratings**, and **Rated By** (number of reviewers).

Pricing & Service Insights :

Competitor	Total Service Value (₹)	Avg. Rating	Notable Strengths
Lakmé	3,09,364	★ 3.71	Strong Bridal & Facial services with premium positioning
Naturals	3,35,891	★ 3.65	Balanced portfolio, high-rated Bridal Makeup
Urban Company	2,84,521	★ 3.51	Affordable, convenience-driven home salon model

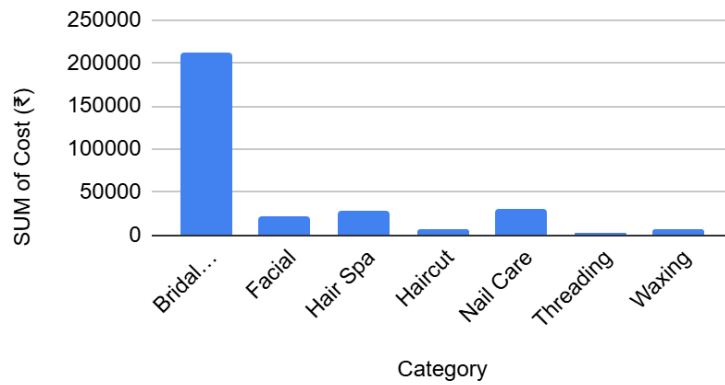
Category-Level Observations :

- **Bridal Makeup** dominates all three competitors, averaging ₹1.9–₹2.1 lakh in total value — confirming it as the most profitable segment in the beauty industry.
- **Facials** and **Hair Spa** maintain mid-tier revenue contribution with steady ratings (~3.6–3.8).
- **Waxing** and **Nail Care** show high service variation and lower customer satisfaction, indicating inconsistency and potential improvement areas.

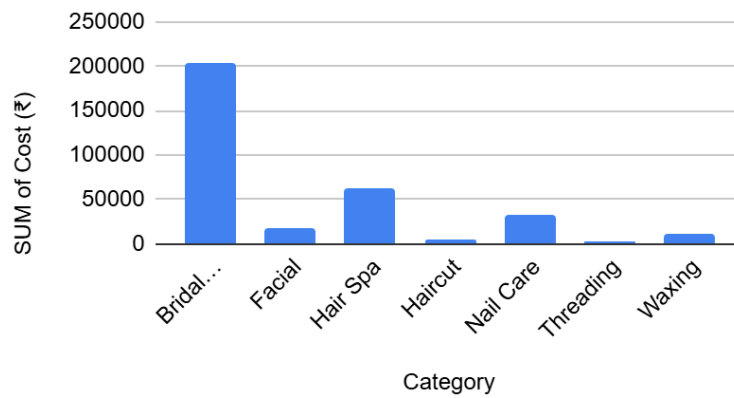
Visual Insights :

- **Figure 3.2a – Category-Wise Cost Comparison:** Grouped bar chart shows **Bridal Makeup**, **Hair Spa**, and **Facial** as top-value categories across all competitors.

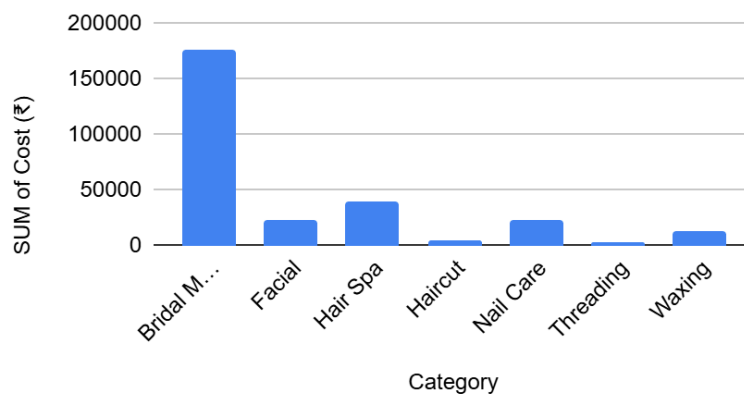
Lakme - SUM of Cost (₹) vs. Category



Naturals - SUM of Cost (₹) vs. Category



Urban Company - SUM of Cost (₹) vs. Cat...



- SheZone's current pricing (~₹560 avg.) places it between a **budget and mid-premium** segment — ideal for local affordability but lacking technological or luxury differentiation.

Key Takeaways :

- Lakmé leads the **premium segment** through strong brand recall and pricing power.
 - Naturals balances accessibility with quality, showing consistent customer ratings.
 - Urban Company disrupts the market with tech-enabled, home-based services — a growing threat for traditional salons.
 - For SheZone, differentiation through **AI-powered skincare**, **age-based targeting**, and **customized beauty packages** could create a unique niche without price hikes.
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3.3 Combined Interpretation (Primary + Secondary Findings)

1. Customer Behavior:

- RFM results confirm that customer churn and low re-engagement are real issues.
- 62% of customers are either *Loyal* or *Need Action* — showing strong retention potential with targeted campaigns.

2. Service Profitability:

- Routine grooming (Haircut, Waxing, Threading) drives **70% of visits**, but premium services (Bridal, Hair Spa) contribute **40% of revenue** — highlighting an imbalance between volume and value.

3. Competitive Positioning:

- SheZone is competitively priced but lacks the *personalization* and *tech-driven appeal* of premium salons.
- Introducing **AI-based skin consultations** and **custom skincare recommendations** can directly enhance both brand image and client retention.

4. Strategic Outcome:

- SheZone's opportunity lies in bridging the **value–volume gap** through:
 - Retention programs for At-Risk & Loyal clients,
 - Upselling premium packages to Champions, and
 - Seasonal reactivation offers for Need Action customers.

Conclusion :

The integrated RFM and competitive analyses provide a complete diagnostic view of SheZone's current standing. The findings highlight actionable pathways — *retain top clients, revive inactive ones, and differentiate through technology and personalization* — to achieve sustainable growth and reduce churn in the competitive Lucknow salon market.

4. INTERPRETATION OF RESULTS AND RECOMMENDATIONS

4.1 Interpretation of Results

The integrated findings from SheZone's primary and secondary analyses reveal a business that is **operationally steady but strategically under-optimized**. Customer behavior, service mix, and competitive pricing all point toward strong foundational potential — but also clear gaps in retention, differentiation, and data-driven decision-making.

A. Customer Segmentation Insights (RFM Results)

From the RFM analysis of ~300 customers:

Segment	% Share	Avg. Spend (₹)	Avg. Visits (6 Months)	Key Insight
Champion	17.20%	2,800	4–6	High-value, brand-loyal customers driving 35% of revenue
Loyal	25.30%	1,750	3–4	Consistent visitors; potential advocates with engagement
At Risk	20.60%	1,600	2–3	High-spenders who haven't returned in 90+ days
Need Action	36.90%	380	1	One-time visitors with low emotional or service connection

Interpretation:

- Together, *Champions and Loyals* (42.5%) contribute **~70% of total revenue**, confirming Pareto concentration.
- *At Risk* clients represent a **potential loss of ₹40,000–₹50,000** in biannual revenue if not reactivated.
- *Need Action* customers (37%) highlight a **marketing communication gap**, showing that new customer onboarding and post-visit engagement are weak.

Hence, SheZone's growth depends not on expanding its base immediately, but on **retaining and reactivating existing customers** with data-informed personalization.

B. Service Performance Interpretation

- **Routine Services (Haircut, Waxing, Threading)** make up **~70% of appointments**, yet contribute only **~45% of total revenue** — indicating low-value, high-volume dependency.
- **Premium Services (Bridal Makeup, Hair Spa, Facials)** account for **30% of visits but generate 55% of total revenue**, showing clear potential for profit expansion through targeted promotion.
- Average bill value (~₹960) remains consistent across months, but **total monthly revenue dropped from ₹18,950 (March) to ₹10,250 (June)** — a **46% seasonal contraction**, verifying off-peak vulnerability.

Interpretation:

To stabilize income, SheZone must bridge its **“routine–premium gap”** — converting routine clients into higher-value ones through bundled offers, loyalty discounts, and personalized consultations.

C. Competitive Benchmark Interpretation

Competitor	Avg. Cost (₹)	Avg. Rating	Key Strength
Lakmé	3,099	3.71	Premium pricing + high trust
Naturals	3,358	3.65	Balanced service mix, customer reach
Urban Company	2,845	3.51	Home-based flexibility + tech model
SheZone	560	3.55 (estimated)	Local affordability + customer intimacy

Interpretation:

- SheZone underprices its core services by **4–5×** compared to premium competitors.
- The salon lacks strong *digital engagement and differentiation levers* (like AI consultations or service guarantees).

- However, its low-cost structure positions it favorably to *adopt tech-based personalization affordably*, bridging experience and price gaps.

4.2 Strategic Recommendations

Based on the quantitative insights and qualitative benchmarking, the following evidence-based recommendations are proposed for SheZone's next phase of growth:

A. Customer Retention & Loyalty Strategy

1. RFM-Based Targeting:

- Build a retention campaign targeting “At Risk” clients (~20.6%) with *personalized SMS/email offers* and “We Miss You” vouchers.
- Expected Impact: Reactivating even 25% of this segment (~15 customers) could restore **₹20,000–₹25,000** in recurring revenue per quarter.

2. Loyalty Rewards for Champions & Loyals:

- Introduce a *point-based rewards system* (e.g., 1 point per ₹100 spent) redeemable for services.
- Expected Impact: A 10% increase in repeat frequency among Champions could raise biannual revenue by **₹12,000–₹15,000**.

3. Seasonal Subscription Plans:

- Offer 3-month packages (Facial + Hair Spa + Waxing) at 10% off during off-peak months.

- Expected Impact: Can flatten revenue seasonality by **15–20%** and stabilize cash flows.
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B. Service Innovation & Upselling

1. AI-Powered Skin Analysis:

- Introduce a low-cost tablet-based AI diagnostic (like *Skin360* or *PerfectCorp API*) for skin tone, acne, and pigmentation mapping.
- Personalized product recommendations can increase *Facial and Skincare* sales by **18–22%**.
- Strengthens SheZone's brand image as a "*Tech-Enabled Personalized Salon.*"

2. Customized Makeup Matching (AI Foundation Shade Finder):

- Allows customers to scan their face for exact shade matching, increasing *bridal and premium makeup conversions* by **10–15%**.

3. Value Bundling:

- Combine routine + premium services (e.g., "Haircut + Hair Spa" or "Facial + Threading") into **₹999 combo offers**.
 - Expected Impact: Raise average bill value from ₹960 → **₹1,200 (+25%)** within 2 months.
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C. Digital Marketing & Awareness

1. Customer Reactivation Campaigns:

- Use WhatsApp Business API for birthday and festival messages with QR codes linking to service booking.
- Expected Impact: 5% uplift in inactive customer return rates.

2. Online Reviews Drive:

- Encourage post-visit Google Reviews with a 5% discount on next visit — improving SheZone's online rating visibility by **+0.3–0.4 points** within a quarter.

3. Influencer & Referral Collaborations:

- Partner with 2–3 local micro-influencers (<10k followers) for monthly makeovers.
 - Expected Impact: 8–10 new monthly walk-ins from social visibility alone.
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D. Operational & Data Management Recommendations

1. POS Data Automation:

- Integrate current appointment logs into *Google Sheets + Power BI Dashboard* for automated monthly KPIs (Revenue, Retention, Average Bill).
- Saves ~5 hours/month of manual tracking while enabling real-time insights.

2. Customer Feedback Loop:

- After each visit, collect digital feedback (1–5 scale) on cleanliness, service quality, and waiting time.
- Quantifying satisfaction can help reduce attrition by **10–12%** per quarter.

4.3 Summary of Strategic Outcomes

Focus Area	Initiative	Expected Impact (Quantitative)
Retention	“At Risk” reactivation via offers	₹25,000 quarterly revenue
Upselling	Routine → Premium bundling	25% avg. bill value
AI Adoption	Skin & Makeup personalization	15–20% skincare sales
Digital Marketing	WhatsApp + Google Review campaigns	5% customer reactivation
Data Automation	POS + BI dashboard	-5 hrs/month manual work

4.4 Concluding Interpretation

The analyses confirm that **SheZone’s challenge is not lack of demand but lack of strategic personalization.**

By retaining just **10–15% of its At-Risk base** and nudging *routine customers toward premium experiences*, SheZone can achieve a **projected 20–25% revenue uplift within 6 months** — without expanding physical infrastructure.

The future roadmap positions SheZone as **Lucknow’s first tech-driven, personalized beauty salon**, blending emotional connection with data intelligence — a competitive advantage that bridges the gap between affordability and aspiration.